

Cover Letter — Senior Secured Term Loan (Discussion Draft)

Date: 2026-07-06
From: GrnBit (Cayman) Holdings · Miracle Lake TX Phase 1
To: Prospective senior lender / participation syndicate
Re: Indicative \$3,000,000 senior secured term loan facility — balloon structure
Status: Non-binding · for discussion with counsel only

Dear Lender,

GrnBit (Cayman) Holdings ("**Borrower**") requests your consideration of a senior secured term loan to fund energisation and OCTO AI validation at **Miracle Lake, Karnes County, Texas — Phase 1**.

Why this letter

We are not asking you to rely on a static deck. Coverage metrics in the enclosed term sheet are sized from the **live OCTO AI dashboard simulation** pulled 2026-07-06T19:57:10.914Z:

- OCTO daily profit (optimized twin): **\$2,387/day**
- OCTO edge vs industry-typical baseline: **+22.6%**
- BTC price in model: **\$63,581**
- Validation status: **simulation-validated**

The dashboard is the same surface we use for investor diligence:

<https://octo-dashboard-rikj.onrender.com/>

Why balloon — not full 48-month amortization

At the fixed commercial terms under discussion (**48 months · 12% fixed**), a fully amortizing schedule requires approximately **35%/yr** debt-service yield on principal. The simulation-derived profit yield on funded capex at Phase 1 scale is approximately **29%/yr**. Under full amortization, natural DSCR tops out near **0.82x** even at a **\$3,000,000** draw — below any defensible **1.3x–1.5x** lender floor.

This is a **structural** constraint, not a negotiating position. The financeable alternative — standard in project finance — is to **size post-interest-only payments to a target DSCR** and accept a **balloon / refinance balance at maturity** rather than pretend the loan self-liquidates in 48 months.

Facility sizes offered

Tranche	Status
\$1,000,000	Not offered — does not fund a viable build-out after site and container fixed costs
\$2,000,000	Offered — see term sheet
\$3,000,000	Offered — full Phase 1 scale (preferred)

Minimum lender participation: **\$250,000**. Multiple lenders may participate pro-rata in a single facility up to **\$3,000,000**.

Enclosures

1. Indicative Term Sheet (balloon structure)
2. Form Loan Agreement (discussion draft — counsel to finalize)

Important disclosures

- OCTO AI performance is **simulation-validated** pending Phase 1 energisation.

- CAPEX build-out sizing uses **locked vendor quotes** (AntSpace/Bitmain hardware + Xplor interconnect) in `capex-quotes.json` , reconciled to **\$3.02M** Phase 1 total.
- This package is **not an offer of securities** and **not legal or tax advice**.

We welcome a diligence call and site scoping session. Contact: info@grnbit.digital.

Respectfully,

GrnBit (Cayman) Holdings

Miracle Lake TX Phase 1 · OCTO AI Validation Site